

after specifically setting aside what is needed to meet all of the household liabilities. This distinction is important because there are cases when tying up part of one's assets in something illiquid, such as an income annuity, may allow for the household liabilities to be covered more cheaply than could be done when all assets are positioned to provide technical liquidity. In simple terms, an income annuity that pools longevity risk may allow lifetime spending to be met at a cost of twenty years of the spending objective, while self-funding for longevity may require setting aside enough from an investment portfolio to cover thirty to forty years of expenses. Because risk pooling and mortality credits allow for less to be set aside to cover the spending goal, there is now greater true liquidity and therefore more to cover other unexpected contingencies without jeopardizing core spending needs. Liquidity, as it is traditionally defined in securities markets, is of little value as a distinct goal in a long-term retirement income plan.